The spread between the curves would be the value (in this case ETH) accrued to the smart contract and could represent a fee for usage or used to finance more complex functionality within the system. As long as the contract maintains sufficient collateral to sell back down the entire sell curve, the contract is capitalized and able to fulfill any sell demand.

INCENTIVES

Incentives within cryptoeconomic systems including DeFi are extremely important in encouraging desired (positive incentive) and discouraging undesired (negative incentive) user behaviors. The term *incentive* is quite broad, but we narrow our discussion to direct token payments or fees. We will look at two different categories of incentives: (1) *staked incentives,* which apply to a balance of tokens custodied in a smart contract; and (2) *direct incentives,* which apply to users within the system who do not have a custodied balance.

Mechanisms in the contract determine the source of any reward funds and the destination for fees. Reward funds can be issued through inflation or by minting or can be custodied in the smart contract. Funds removed as a fee can be burned or retained in the smart contract's custody. Reward funds can also be issued as a direct incentive to the platform's participants or raised through an auction to repay a debt. A mechanism might instigate a burn to reduce the supply of a particular token to increase price pressure.